Gov. Newsom signs bill to provide emergency relief for financially distressed hospitals

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Author: Nick Sestanovich | Section: Business | 444 Words
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WATSONVILLE — Gov. Gavin Newsom signed a bill Thursday that aims to provide urgent financial relief to fiscally distressed hospitals, potentially including Watsonville Community Hospital whose CEO praised the bill's enactment.

Assembly Bill 108 — authored by Assemblymember Jesse Gabriel, D-Encino — seeks to establish a one-time grant program of up to $25 million administered by the California Department of Health Care Access and Information. The money would be used to support nonprofit and public hospitals in California that have experienced immediate and significant money troubles.

To be eligible, hospitals must have fewer than 10 days cash on hand, have demonstrated best efforts to exhaust other financial options and more than half of the patients are enrolled in public programs or are uninsured.

While the hospitals that could receive funding have not yet been determined, Watsonville Community Hospital is one that meets the above criteria. In 2025, hospital leaders announced the institution was deficit spending less than $1 million after years of recording losses following a bankruptcy declaration in 2021. In 2022, the hospital was transferred from corporate to private ownership for the first time in decades following the formation of the Pajaro Valley Health Care District via Senate Bill 418 by Sen. John Laird, D-Santa Cruz. That year, the hospital experienced a $30 million loss as it navigated through the bankruptcy process, which was cut to $13 million in 2023 and $800,000 in 2024.

However, CEO Stephen Gray has said the hospital continues to face challenges, largely due to delays in federal funding. He said in a statement that the legislation was "a key potential win for Watsonville Community Hospital," as it would allow for the opportunity to apply for grants through the Distressed Hospital Loan Program.

"This is critically important for the hospital as we navigate fiscal challenges brought on by funding delays and cutbacks at the federal level," he wrote. "Watsonville Community Hospital's commitment to patient care remains our highest priority, even in the face of significant financial challenges. We believe that fiscal responsibility and clinical excellence are not mutually exclusive, as demonstrated by the recent A-grade in the Spring 2026 Leapfrog Hospital Safety Grade ratings, the highest possible designation."

Laird, chair of the Senate Budget and Fiscal Review Committee and advocate for the bill, praised the bill's passage.

"These hospitals are essential providers of care in communities that often have few alternatives," said Laird. "AB 108 provides an immediate lifeline to help keep critical healthcare services operating while the Legislature continues work on broader, long-term solutions."

Laird wrote that there are also plans to allot $200 million in funds in the 2026-27 state budget to support struggling hospitals throughout California.

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